

Project
Report on
WEALTH MANAGEMENT

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CHAPTER 1: INTRODUCTION

1.1 Wealth Management

Wealth Management as a concept originated in year 1990's in the US. Essentially it is the investment advisory covering financial planning that provides individuals with private banking/ asset management/ taxation advisory & portfolio management. Warren Buffett is the most successful investor in world. He says that "The basic ideas of investing are to look at stocks as business, use the market's fluctuations to your advantage, and seek a margin of safety. That's what Ben Graham taught us. A hundred years from now they will still be the cornerstones of investing". He is even called as wealth creator.

1.2 Wealth Management Means

Wealth management is a high-level professional service that combines financial/investment advice, accounting/tax services, retirement planning and legal/estate planning for one fee. Investors work with a single wealth manager who coordinates input from financial experts and can include coordinating advice from the investors own attorney, accountants and insurance agent. Some wealth managers also provide banking services or advice.

In others words, it is basically an investment advice or assistance to manage person's financial needs. These services are offered to investors in packages to provide benefits with two main goals growth and safety of their existing investments.

1.3 Financial Planning

Everyone has needs and aspirations. Financial Planning is an approach to assess the adequacy of income and assets of a person to meet the financial requirements for fulfillment of these needs and aspirations.

The role of financial planning has been increasing in the market because:

- Needs and aspirations of people are ever-increasing. This increases the financial challenge that people face. Investors need to be counseled on the difference between needs (essentials) and wants (desires). Prioritization of expenses is critical for people who are struggling to make both ends meet.

1. Joint families are giving way to nuclear families. The nuclear family stays in a separate house. The rentals or the acquisition cost of a house, are an important financial need to plan for.
2. In a nuclear family, the individual is responsible for his immediate family. The extended family, staying under a different roof, cannot be expected to support the regular financial needs of the individual.
3. The period of earning for individuals is reducing, while the longevity (life span) of people is increasing. This means that incomes earned over a shorter time period need to finance the needs over a longer period of time. Hence the need for retirement planning.
4. Income levels are going up. Higher investible surplus needs to be invested prudently for the future. Hence the need for professional financial planning advice.
5. The financial assets and liabilities that are available in the market for various needs are getting more and more complex. It is difficult for a layman to have a comprehensive understanding of these financial products.
6. Tax provisions keep changing. People need to plan their taxes and ensure that they take full benefit of the concessions available. This has opened the doors for professional tax advisers.
7. Increasing complexities in family structure can create problems while transfer wealth to the next generation. Therefore, estate planning is important.

A professional financial planner helping individuals navigate these challenges is an important member of our society. The role and influence of financial planners is bound to grow in India.

1.4 Kind of Financial Planning

There are two approaches to financial plan:

1. Goal based Financial Plan

The goal-based financial plan can get more complex, when we provide for multiple goals, with a different asset allocation for each goal, and different projected returns for

each asset class. Goal-based financial plans are a usual starting point for the investor- planner relationship.

2. Comprehensive Financial Plan

A comprehensive financial plan addresses the above limitations of a goal-based financial plan. It provides complete information on the overall financial position of the investor, and how the financial goals will be met periodically. Multiple formats of Comprehensive Financial Plan are possible, for various situations.

1.5 Role of Financial Planner/ Wealth Manager

The financial planner's fundamental role is to ensure that the investors have adequate money/ wealth for various financial needs/ goals.

While performing this role, financial planners offer some or all of the following services:

1. Preparing a financial blue print for the investors' future
2. Advice on investment in share market
3. Advice on investment in small savings schemes and other debt instruments
4. Advice on investment in mutual funds and other investment products
5. Suggesting a suitable asset allocation based on risk profile of the investors
6. Management of loans and other liabilities
7. Insurance planning and risk management
8. Tax planning
9. Planning for smooth inheritance of wealth to the next generation.

1.6 BENEFITS OF WEALTH MANAGER/MANAGEMENT

The job of a wealth manager goes far beyond just helping clients identify potentially profitable stocks, bonds, mutual funds, or managing investments, etc. Below mentioned are some of the vital benefits of having a wealth manager...

A wealth manager can be of great backing in providing the present status of your finances and offering a detailed examination of your financial health.

A professional wealth manager carries a set of multi-disciplinary skills to the table, and greatly helps with allocating assets, tax optimization, savings goals, retirement, and passing assets to the next generation.

They help you control the allocation of investments based on life's realities, help you prepare for your retirement, help you with inheritance issues and transfer of assets, aid you preserve and manage wealth, and so on.

A professional wealth manager can simplify unclear financial markets, and help you differentiate between good and bad investments.

No matter what level of assets you have, a wealth manager can help you in taking decisions for your charities and making tax benefits out of it.

Comprehensive wealth management involves long-term strategic planning of your financial goals. A wealth manager effectually aligns your plans and objectives, and creates a road map based on your financial status, and sets realistic goals and strategies for the business to achieve your targets.

The assessment of the gaps between your goals and current financial status is necessary to help you plan your actions precisely. A wealth manager helps you conduct the gap analysis to assess your resources, strength and weakness. They also help you fill these gaps to meet growth prospect.

1.7 IMPORTANCE OF WEALTH MANAGER

Wealth management is an important practice, but not all investors have satisfactory knowledge of wealth management. Most investors perceive wealth management process to be a smooth ride. This is very different in reality, of course. Markets do not move in a conventional direction, and unexpected factors usually get in the way of savings. This is where the expertise of a wealth manager can be put to habit. Wealth managers take benefit of their experience and knowledge, and regularly update and change their client's investment profile grounded on where they are in their life cycle, with respect to other immediate factors.

1.8 Life Cycle

People go through various stages in the life cycle, such as:

- Young and unmarried
- Young and married, with no children
- Married and having young children

- Married and having older children
- Retirement

Position on the life cycle determines the kinds of challenges the investors is likely to face and therefore the approach to financial planning.

For instance, younger investors have the entire earning cycle ahead of them. Their insurance needs will be high. Those with dependents need to have adequate life insurance to protect the family against untimely demise.

At a young age, saving and spending habits are formed. Systematic Investment Plans (SIPs) are a good way to ensure that the investor does not fritter away any money. They need to be educated on how starting saving early ensures a comfortable future.

Parents with young children need to prepare for sudden significant outflow, for education or marriage or such other requirement of children. They also need to plan for their retirement, not only in terms of financial assets, but also corporate perks that may not be available in future, such as medical re-imbursement, accommodation, car, club facilities etc.

On retirement, if salary or business earnings were to stop, then investors need to be cautious in taking risks. At a younger age, the investors can take greater risk. Asset Allocation is a key decision across the life cycle of the investors.

1.8 Wealth Cycle

As with life cycle, the position of the investor on the wealth-cycle changes over time.

The key stages are:

1. Accumulation
2. Distribution
3. Transition
4. Windfall Gain
5. Inter-generation Transfer

1.9 Systematic Approach to Investing

In the long term, equity share prices track corporate performance. More profitable a company, higher is likely to be its share price. However, in shorter time frames, the market is unpredictable. Market fluctuations are a source of risk for investors. Over the period of time equity has given a better return than any other source of investments. Hence it is the major investment avenue in wealth management. Because of this reason investors are advised to take a systematic approach to investing. This can take any of the following forms:

1. Systematic Investment Plan (SIP)

Systematic Investment Plan is an investment strategy wherein an investor needs to invest the same amount of money in a particular mutual fund at every stipulated time period. Though an SIP, an investor commits to invest a constant amount periodically.

2. Systematic Withdrawal Plan (SWP)

SWP refers to Systematic Withdrawal Plan which allows an investor to withdraw a fixed or variable amount from his mutual fund scheme on a preset date every month, quarterly, semi-annually or annually as per his needs.

3. Systematic Transfer Plan (STP)

STP refers to the Systematic Transfer Plan whereby an investor is able to invest lump sum amount in a scheme and regularly transfer a fixed or variable amount into another scheme.

1.10 Risk Profiling

In Risk Profiling Investor data analysis including positioning on the Life Cycle and Wealth Cycle which will suggest the investor's risk profile. Planners classify their investors into groups, such as:

- Extremely Risk Averse
- Moderately Risk Averse
- Risk Neutral
- Moderately Risk Oriented
- Extremely Risk Oriented

The more risk-oriented investor is having greater risk so the exposure that can be suggested to risky assets. In general, equity is viewed as the risky asset, while debt is

considered the safer asset. Gold protects the portfolio in extremely adverse situations, where both debt and equity under-perform. Real estate is an illiquid asset that can grow over time, and also give rental income. Debt, Equity, Gold and Real Estate are asset classes.

1.11 Asset Allocation

Different asset classes perform well in varied economic and market scenarios. The analyst seeks to interpret the leading indicators and anticipate likely market trajectory. However, it is not possible to predict the market with certainty. An approach to balance the uncertainty is to invest in a mix of asset classes. This ensures that some asset classes in the portfolio perform well, when others don't. Such distribution of investment portfolio between asset classes is "asset allocation"

Types of Asset allocation

1. Strategic Asset Allocation: -

Distribution between asset classes based on risk profile of investor is called Strategic asset allocation'. Let us consider a few examples:

- A young investor, who is in the accumulation phase, can afford to take more risk. Even if he were to lose money, he can recover it from future earnings. Besides, he is exposed to inflation over a long period. His portfolio needs to have risky growth assets that are likely to protect him from inflation. Such an investor may be advised to have an equity-debt mix of 80:20.
- A senior citizen is exposed to inflation too. However, the exposure is for a shorter time period determined by life expectancy. Besides, the senior citizen may not have a future earnings stream to make up for losses. The physical health of the person too may or may not be in a position to handle the shock of investment losses. These factors mandate a significantly lower exposure to risky assets. Equity-Debt mix of 20:80 is quite common for such investors.

2. Tactical Asset Allocation: -

Investors who are oriented to take risk do take asset allocation calls based on their views of the market. When they feel the market is undervalued they increase their

exposure to equity. They exit their equity investment when the view is that the market is overheated. Such an approach to investment is called 'Tactical Asset Allocation'.

3. Fixed Asset Allocation: -

An investor who practices fixed asset allocation will seek to maintain the allocation even when the market moves.

Suppose an investor's portfolio is structured with equity to debt mix of 30:70. In a short period, if the equity market were to go up by 70%, 30 will become 51. During this phase, if debt gave a 5% return, 70 would have become 73.5. Thus, the equity- debt mix has now become 51: 73.5, which can be re-written as 41:59. The complexion of the portfolio has changed.

Most mutual fund schemes operate with a fixed asset allocation, though within a wide investment range defined in the Offer Document. For instance, the proposed investment distribution may be defined in the Offer Document as follows:

Equity and equity related securities 70-90% and Debt and debt related Securities 10-30%

4. Flexible Asset Allocation:-

Let us continue with the previous example of investor with Equity: Debt mix of 30:70, which changed to 41:59 when the market changed. We saw that an investor adopting fixed asset allocation will re-balance his portfolio to arrive at the targeted equity: debt mix. An investor who adopts flexible asset allocation will allow the equity: debt ratio to drift. There will be no re-balancing in line with the market; this kind of lazy approach to investment is not desirable.

1.12 Financial Planning in India

Mutual Fund distributors and others involved in selling or distributing mutual funds need to pass the prescribed examination before they can start selling mutual fund schemes. However, no such requirements have been set for financial planners and wealth advisers.

Securities & Exchange Board of India (SEBI) has come out with a concept paper on the proposed regulatory structure for investment advisers. The highlights are as follows:

- There is an inherent conflict of interest between a distributor earning a commission as agent of a product manufacturer (such as a mutual fund) and

performing the role of financial adviser claiming to protect the investor's interests.

- The proposed model to tackle this conflict of interest is as follows:
 1. The person who interfaces with the customer should declare upfront whether he is a financial advisor or an agent of the companies.
 2. Advisers should be governed
 3. They should be subject to Investment Advisors Regulations.
 4. Advisors should acquire higher level of qualifications.
 5. They may act as advisor to investor for multiple financial products.
 6. They will receive all payments from the investor. There would be no limits set on these payments.

1.13 Financial Planning to Wealth Management

Financial planning seeks to ensure adequacy of assets and cash flows for meeting the financial goals of the Investor. In the case of a wealth management Investor, adequacy of assets is not an issue. The Investor will have the assets, though cash flow (liquidity) can be an issue if not suitably invested.

A wealth manager seeks to understand what the Investor wants with the wealth viz. grow the wealth with an openness to take risk; or consolidate the wealth with a conservative approach to risk; or preserve the wealth while avoiding risk to the extent possible. Different asset allocation mix would be appropriate for each of these profiles. Wealth Management deals with creation, accumulation, preservation and enjoyment of wealth.

1.14 PORTFOLIO MANAGEMENT SERVICE

Portfolio management is the business of making customized decisions to build a strong portfolio based on financial objectives, investment policy, asset allocation principles, risk tolerance and time horizon. Two of the most common structures offered for the management of portfolio include:

1. **Discretionary portfolio management services:** These investments are made by the wealth manager (decision maker) on behalf of the client as required and

all investments are held in client account. All investments are based on investment plan agreed upon mutually by client and manager.

- 2. Non-Discretionary portfolio management services:** These services are offered in a consultative method. Although you have access to the research data on the available opportunities and the expertise of the wealth manager, the execution and maintenance of the portfolio are your choices.

FEES: Investors can choose from a range of fee options, including a fixed percentage of funds managed or variable with profit-sharing, where the fund manager makes money only if the portfolio generates returns or the combination of both options.

1.15 WHY ACTIVELY MANAGED PORTFOLIO SERVICES ARE ESSENTIAL?

Investments once made need to be monitored and gaps if any need to be addressed. Portfolio manager undertakes a rigorous periodic portfolio review keeping clients financial milestones in mind.

Furthermore, encouraging time-poor individuals to outsource their wealth management to professionals. These clients can then focus their limited time on their work and family.

Portfolio and asset allocation decisions are made on client's standard of living and requirement of wealth in future. Example, children's higher education, retirement planning, charitable causes etc.

Lastly, oftentimes wealth managers' models might suggest hedging a client's portfolio in case of certain outlier events affecting a particular securities or assets class.

1.16 PORTFOLIO ALLOCATION

Portfolio is built from different kinds of instruments each with their own requirements, risks and returns. Products are grouped as an asset class, based on securities which share common characteristics, law, regulation and behavior in the market over time. Assets are also classified by their risk and return behavior in each market environment. To make the best of portfolio risk and return, it is important to spread your assets across equity, debt, structured products, private equity, real estate and other avenues. Wealth Manager has access to proprietary asset allocation model where he tries to identify low risk products with optimum returns. For example, in case of large cap equity-oriented

portfolios, downside is protected using hedging tools.

INVESTACTIVE – PROPRIETARY ALLOCATION BY PL 70:30 ALLOCATION APPROACH

POWER OF 70 (Top Picks)

Purely fundamental in nature they typically have a holding period of 1 year plus

- 40% LARGE CAPS (~ 4% each stock)
- 30% MID CAPS (~ 3% each stock)

OPPORTUNITY 30 (Short Term Trading Opportunities)

1. 10% ALPHA TRADE

Alpha Trades – Short to Medium Term Holding Period

2% of portfolio for each call – Max 5 calls Open

Alpha calls are a mix of market driven trades and technical.

2. 20% POSITIONAL TRADES

Short Term Positional Trades – Holding period from a few days to a month – No Intraday or Derivatives

2% of portfolio for each call – Max 10 calls open

Technical Parameters followed in releasing a trade with stop losses and targets specified upfront.

1.17 FINANCIAL INNOVATION IN WEALTH MANAGEMENT

Robo-Advisory: wealth management is undergoing structural change due to digital disruption. The new generation of investors are groomed by variety of technology innovations offered by startups and this in turn has caused industry incumbents to come up with breakthroughs of their own.

Clients are no longer satisfied with traditional wealth management offerings, as lot of investment decisions and asset allocation ideas could be generated real time via artificial intelligence which can process huge chunk of financial data and client data to narrow down appropriate asset allocation as per clients' risk and return expectations preference.

The offerings of Robo-Advisory are feasible to the mass affluent classes of the

population who were until now vary of fees charges by wealth advisory in private banks.

Globally, according to a 2015 EY report on wealth management, this is leading to the emergence of two models for the business: one being a fully-automated digital wealth manager and the other a hybrid, combining automated services and the human adviser. The growth of Robo-Advisory especially in more developed markets, has in part been driven by a shortage of financial advisers. Many experienced professionals are in their 50s, with fewer young people willing to join this highly-competitive industry. This is the segment that is likely to feel the biggest positive impact of technology driven services.

According to Capgemini world wealth report 2018, although widespread global entry of BigTech (technology giants) into wealth management remains uncertain, leading firms (nearly three-quarters of all interviewed private banking firms) are investing in innovative technologies such as intelligent automation (back-end processes) and artificial intelligence (AI) over the next 24 months, as they prepare for BigTech to play a larger role in the industry.

Furthermore, according to the same study younger HNWIs (under age 40) demand for artificial intelligence (AI) optimized advisory for their wealth management needs.

1.18 Technology Wave in India

India is a home to more than 462 million Internet users, the number of mobile users here is expected to reach 1 Bn by the year 2020. Determined by the Harvard Business Review (HBR) in its latest edition of Digital Evolution Index 2018, India has a great market potential compared to the entire world.

With the emergence of disruptive Artificial Intelligence (AI) technology, a lot of startups in past years namely discount brokerages like Zerodha which offers sophisticated algorithm-based investing bridge, mutual funds amongst other offerings and m-commerce app-based platforms like Paytm offers loan, insurance and mutual fund products to its 80 million active users. Though a major challenge to the penetration of digital advice, is that Indian investors are not very comfortable with online investing and prefer some form of personal advice, even if this is informal. Only then participants

will want to make an investment decision. In short, there seems to be a lack of trust in pure digital investing models.

Nevertheless, it's important to remember the bigger picture: favorable demographics, rising affluence, and the increasing number of internet and mobile phone users. This sets the stage for explosive growth in robo-advisory models, despite some hurdles along the way. Lastly, digital tools have the potential to change the face of product distribution in the country as traditional advisers and distributors have faced challenges in expanding beyond the metro cities and tier2 towns

1.19 Industry Leaders Speaking on Financial Innovation

“We started as a payments platform and expanded customer offerings to deposits with Paytm Payments Bank. With Paytm Money, India has taken the next big step in the direction of managing wealth. Pravin and his team are on a mission to make wealth management accessible and easier for the Indians. Our aim is to increase the size of wealth management customer base and bring good understanding of wealth products to our consumers.”

1.20 Wealth Management in India

India's wealthy are relatively young compared with their international counterparts and, hence, take a different approach to wealth management. The demographic difference presents an opportunity to create new products to address the needs of a young population and leverage new technologies, such as social- and mobile-enabling investing applications as a key differentiator. India's wealth management services sector is largely fragmented, which isn't surprising given the industry is still in its early days. Hence, it is recommended that firms take a long-term view while evaluating potential return on investment. Given the market and a demographic and regulatory environment that is significantly different from elsewhere in the world, we recommend wealth managers consider the following to succeed in the Indian market:

- Build your brand and focus on overcoming the trust barrier.
- Invest in advisor technology to improve advisor productivity and retention.
- Evaluate a partnership-based model, coupled with innovative use of technology, to increase reach.
- Focus on transparency and compliance, while targeting customers with

attractive, segment focused products.

Though wealth management is a new concept for India, some companies are started working in this direction. Here is list of some companies:

1. ICICI Asset Management Company
2. HDFC Asset Management Company
3. Reliance Asset Management Company
4. UTI Asset Management Company
5. Birla Sun Life Asset Management Company
6. Kotak Mahindra Asset Management
7. Religare Asset Management Company
8. Tata Asset Management Company
9. Franklin Templeton
10. L & T Finance Limited
11. BNP Paribas Asset Management Company Limited
12. Morgan Stanley STBF
13. Sundaram Asset Management Company
14. Axis Asset Management Company
15. Bajaj Holdings or Bajaj Capital
16. Motilal Oswal Asset Management Company
17. Edelweiss Asset Management Limited
18. Muthoot Asset Management Company

Some are Indian companies whereas some are foreign companies who have started giving guidance on wealth management to customers.

1.21 Investment Avenues

Investment Avenues are different ways that you can invest your money.

Following investment avenues that are considered in this report are as follows:

1. Saving Account
2. Bank Fixed Deposit

3. Public Provident Fund
4. National Saving Certificate
5. Post Office Saving
6. Government Securities
7. Mutual Funds
8. Life Insurance
9. Debentures
10. Bonds
11. Equity Share Market
12. Commodity Share Market
13. FOREX Market
14. Real Estate (Property)
15. Gold
16. Chit funds

Some important Investments Avenues are explained below:

1. Mutual Funds

A mutual fund is an investment vehicle that is made up of a pool of funds collected from many investors for the purpose of investing in securities such as stocks, bonds, money market instruments and similar assets. Mutual funds are operated by money managers, who invest the fund's capital and attempt to produce capital gains and income for the fund's investors. A mutual fund's portfolio is structured and maintained to match the investment objectives stated in its prospectus.

2. Life Insurance

Life insurance is a protection against the loss of income that would result if the insured passed away. The named beneficiary receives the proceeds and is thereby safeguarded from the financial impact of the death of the insured. The goal of life insurance is to provide a measure of financial security for your family after you die. So, before

purchasing a life insurance policy, you should consider your financial situation and the standard of living you want to maintain for your dependents or survivors.

3. Debentures & Bonds

A debenture is a type of debt instrument that is not secured by physical assets or collateral. Debentures are backed only by the general creditworthiness and reputation of the issuer. Both corporations and governments frequently issue this type of bond to secure capital. Like other types of bonds, debentures are documented in an indenture. There are 2 types of debentures: Convertible and nonconvertible. A bond is a debt investment in which an investor loans money to an entity (typically corporate or governmental) which borrows the funds for a defined period of time at a variable or fixed interest rate. Bonds are used by companies, municipalities, states and sovereign governments to raise money and finance a variety of projects and activities.

4. Equity market

Equity market one of the most vital areas of a market economy because it gives companies access to capital and investors a slice of ownership in a company with the potential to realize gains based on its future performance. The securities traded in the equity market can be either public stocks, which are those listed on the stock exchange, or privately traded stocks

5. Commodity Market

A physical or virtual marketplace for buying, selling and trading raw or primary products. For investors' purposes there are currently about 50 major commodity markets worldwide that facilitate investment trade in nearly 100 primary commodities. Commodities are split into two types: hard and soft commodities. Hard commodities are typically natural resources that must be mined or extracted (gold, rubber, oil, etc.), whereas soft commodities are agricultural products or livestock (corn, wheat, coffee, sugar, soybeans, etc.)

6. FOREX Market

FOREX is the market in which currencies are traded. The FOREX market is the largest, most liquid market in the world, with average traded values that can be trillions of dollars per day. It includes all of the currencies in the world. There is no central marketplace for currency exchange; trade is conducted over the counter. FOREX transactions take place on either a spot or a forward basis

7. Chit Fund

A Chit fund is a kind of savings scheme practiced in India. A chit fund company is a company that manages, conducts, or supervises such a chit fund, such chit fund schemes may be conducted by organized financial institutions, or may be unorganized schemes conducted between friends or relatives. In some variations of chit funds, the savings are for a specific purpose.

TYPES OF MUTUAL FUNDS SCHEMES IN INDIA

Wide variety of Mutual Fund Schemes exists to cater to the needs such as financial position, risk tolerance and return expectations etc. thus mutual funds has Variety of flavors, being a collection of many stocks, an investor can go for picking a mutual fund might be easy. There are over hundreds of mutual funds scheme to choose from. It is easier to think of mutual funds in categories, mentioned below.

BY STRUCTURE

1. Open - Ended Schemes:

An open-end fund is one that is available for subscription all through the year. These do not have a fixed maturity. Investors can conveniently buy and sell units at Net Asset Value ("NAV") related prices. The key feature of open-end schemes is liquidity.

2. Close - Ended Schemes:

These schemes have a pre-specified maturity period. One can invest directly in the scheme at the time of the initial issue. Depending on the structure of the scheme there are two exit options available to an investor after the initial offer period closes. Investors can transact (buy or sell) the units of the scheme on the stock exchanges where they are listed. The market price at the stock exchanges could vary from the net asset value (NAV) of the scheme on account of demand and supply situation,

expectations of unit holder and other market factors. Alternatively, some close-ended schemes provide an additional option of selling the units directly to the Mutual Fund through periodic repurchase at the schemes NAV; however, one cannot buy units and can only sell units during the liquidity window. SEBI Regulations ensure that at least one of the two exit routes is provided to the investor.

3. Interval Schemes:

Interval Schemes are that scheme, which combines the features of open-ended and close-ended schemes. The units may be traded on the stock exchange or may be open for sale or redemption during pre-determined intervals at NAV related prices.

BY NATURE

1. Equity fund:

These funds invest a maximum part of their corpus into equities holdings. The structure of the fund may vary different for different schemes and the fund manager's outlook on different stocks. The Equity Funds are sub-classified depending upon their investment objective, as follows:

- Diversified Equity Funds
- Mid-Cap Funds
- Sector Specific Funds
- Tax Savings Funds (ELSS)

2. Debt funds:

The objective of these Funds is to invest in debt papers. Government authorities, private companies, banks and financial institutions are some of the major issuers of debt papers. By investing in debt instruments, these funds ensure low risk and provide stable income to the investors. Debt funds are further classified as:

- **Gilt Funds:**

Invest their corpus in securities issued by Government, popularly known as Government of India debt papers. These Funds carry zero Default risk but are associated with Interest Rate risk. These schemes are safer as they invest in papers backed by Government.

- **Income Funds:**

Invest a major portion into various debt instruments such as bonds, corporate debentures and Government securities.

- **MIPs:**

Invests maximum of their total corpus in debt instruments while they take minimum exposure in equities. It gets benefit of both equity and debt market. These scheme ranks slightly high on the risk-return matrix when compared with other debt schemes.

- **Short Term Plans (STPs):**

Meant for investment horizon for three to six months. These funds primarily invest in short term papers like Certificate of Deposits (CDs) and Commercial Papers (CPs). Some portion of the corpus is also invested in corporate debentures.

- **Liquid Funds:**

Also known as Money Market Schemes, these funds provide easy liquidity and preservation of capital. These schemes invest in short-term instruments like Treasury Bills, inter-bank call money market, CPs and CDs. These funds are meant for short-term cash management of corporate houses and are meant for an investment horizon of 1day to 3 months. These schemes rank low on risk-return matrix and are considered to be the safest amongst all categories of mutual funds.

- **Balanced funds:**

As the name suggest they, are a mix of both equity and debt funds. They invest in both equities and fixed income securities, which are in line with pre-defined investment objective of the scheme. These schemes aim to provide investors with the best of both the worlds. Equity part provides growth and the debt part provides stability in returns.

BY INVESTMENT OBJECTIVE:

growth Schemes: Growth Schemes are also known as equity schemes. The aim of these schemes is to provide capital appreciation over medium to long term. These schemes normally invest a major part of their fund in equities and are willing to bear short-term decline in value for possible future appreciation.

Income Schemes: Income Schemes are also known as debt schemes. The aim of these schemes is to provide regular and steady income to investors. These schemes generally invest in fixed income

e securities such as bonds and corporate debentures. Capital appreciation in such schemes may be limited.

Balanced Schemes: Balanced Schemes aim to provide both growth and income by periodically distributing a part of the income and capital gains they earn. These schemes invest in both shares and fixed income securities, in the proportion indicated in their offer documents (normally 50:50).

Money Market Schemes: Money Market Schemes aim to provide easy liquidity, preservation of capital and moderate income. These schemes generally invest in safer, short-term instruments, such as treasury bills, certificates of deposit, commercial paper and inter-bank call money.

OTHER SCHEMES

▪ **Tax Saving Schemes:**

Tax-saving schemes offer tax rebates to the investors under tax laws prescribed from time to time. Under Sec.88 of the Income Tax Act, contributions made to any Equity Linked Savings Scheme (ELSS) are eligible for rebate.

▪ **Index Schemes:**

Index schemes attempt to replicate the performance of a particular index such as the BSE Sensex or the NSE 50. The portfolio of these schemes will consist of only those stocks that constitute the index. The percentage of each stock to the total holding will be identical to the stocks index weightage. And hence, the returns from such schemes would be more or less equivalent to those of the Index.

▪ **Sector Specific Schemes:**

These are the funds/schemes which invest in the securities of only those sectors or industries as specified in the offer documents. e.g., Pharmaceuticals, Software, Fast Moving Consumer Goods (FMCG), Petroleum stocks, etc. The returns in these funds are dependent on the performance of the respective sectors/industries. While these funds may give higher returns, they are riskier compared to diversified funds. Investors need to keep a watch on the performance of those sectors/industries and must exit at an appropriate time.

TYPES OF RETURNS

There are three ways, where the total returns provided by mutual funds can be enjoyed by investors:

Income is earned from dividends on stocks and interest on bonds. A fund pays out

nearly all income it receives over the year to fund owners in the form of a distribution. If the fund sells securities that have increased in price, the fund has a capital gain. Most funds also pass on these gains to investors in a distribution.

If fund holdings increase in price but are not sold by the fund manager, the fund's shares increase in price. You can then sell your mutual fund shares for a profit. Funds will also usually give you a choice either to receive a check for distributions or to reinvest the earnings and get more shares.

ADVANTAGES OF INVESTING MUTUAL FUNDS

1. Professional Management - The basic advantage of funds is that, they are professional managed, by well qualified professional. Investors purchase funds because they do not have the time or the expertise to manage their own portfolio. A mutual fund is considered to be relatively less expensive way to make and monitor their investments.

2. Diversification - Purchasing units in a mutual fund instead of buying individual stocks or bonds, the investors risk is spread out and minimized up to certain extent. The idea behind diversification is to invest in a large number of assets so that a loss in any particular investment is minimized by gains in others.

3. Economies of Scale - Mutual fund buy and sell large amounts of securities at a time, thus help to reducing transaction costs, and help to bring down the average cost of the unit for their investors.

4. Liquidity - Just like an individual stock, mutual fund also allows investors to liquidate their holdings as and when they want.

5. Simplicity - Investments in mutual fund is considered to be easy, compare to other available instruments in the market, and the minimum investment is small. Most AMC also have automatic purchase plans whereby as little as Rs. 2000, where SIP start with just Rs.50 per month basis.

DISADVANTAGES OF INVESTING MUTUAL FUNDS

1. Professional Management- Some funds don't perform in neither the market, as their management is not dynamic enough to explore the available opportunity in the market, thus many investors debate over whether or not the so-called professionals are any better than mutual fund or investor himself, for picking up stocks.

2. Costs – The biggest source of AMC income is generally from the entry & exit load which they charge from investors, at the time of purchase. The mutual fund industries are thus charging extra cost under layers of jargon.

3. Dilution - Because funds have small holdings across different companies, high returns from a few investments often don't make much difference on the overall return. Dilution is also the result of a successful fund getting too big. When money pours into funds that have had strong success, the manager often has trouble finding a good investment for all the new money.

4. Taxes - when making decisions about your money, fund managers don't consider your personal tax situation. For example, when a fund manager sells a security, a capital-gain tax is triggered, which affects how profitable the individual is from the sale. It might have been more advantageous for the individual to defer the capital gains liability.

EXPENSES

Investors in a mutual fund pay the fund's expenses. These expenses fall into four categories: distribution charges (sales loads and 12b-1 fees), operating expenses (which include the management fee and other fund expenses), shareholder transaction fees and securities transaction fees. Some of these expenses reduce the value of an investor's account; others are paid by the fund and reduce net asset value. Operating expenses are included in a fund's operating expense ratio, or simply the "expense ratio".

- **Distribution charges**

Distribution charges pay for marketing, distribution of the fund's shares as well as services to investors. These fees are commonly called 12b-1 fees, named after Rule 12b-1 of the Investment Company Act of 1940, which permits funds to adopt a Plan of Distribution, under which these fees exist.

- **Front-end load or sales charge**

A front-end load or sales charge is a ((commission paid to a broker by a mutual fund when shares are purchased. It is expressed as a percentage of the total amount invested (including the front-end load), known as the "public offering price." The front-end load often declines as the amount invested increases, through breakpoints. Front-end loads are deducted from an investor's purchase by means of paying the net asset value per

share (the share's value) plus the commission.

- **Back-end load**

Some funds have a back-end load, which is paid by the investor when shares are redeemed depending on how long they are held. The back-end loads may decline the longer the investor holds shares. Back-end loads with this structure are called contingent deferred sales charges (or CDSCs). As front-end loads are streamed off purchases, back-end loads are withheld from redemption proceeds with the amount of the CDSD, if any, deducted from the redemption.

- **No-load funds**

A (no-load fund does not charge a front-end load under any circumstances does not charge a back-end load under any circumstances and does not charge a 12b-1 fee greater than 0.25% of fund assets.

- **Operating Expenses, Expense Ratio, Expense Limitations or Caps**

Like any business, funds incur ordinary recurring costs of operating the fund. With most "actively managed" funds (the adviser actively makes investment decisions based on a strategy and other disciplines as opposed to simply following or benchmarking an index), the single largest operating expense of the fund is the Management or Investment Advisory fee.

- **Expense Ratio**

Annual operating expenses divided by average daily net assets for the same period of time are equal to the Operating Expense Ratio, or simply the expense ratio. The expense ratio highlights how much fund expenses come out of a shareholder's investment return and allows comparison from one fund to the next. Other fees and charges dilute returns but they are not included in the expense ratio.

- **Expense Limitations or Caps, Yield Flooring Waivers**

Often, funds have an upper limit set on annual operating expenses to keep the expense ratio fair and competitive, which is negotiated between the fund board and the adviser (fund manager or sponsor) or other affiliates. Typically, the adviser or affiliate agrees to waive fees and/or reimburse the fund to the extent ordinary annual operating expenses exceed some set ratio. These waivers result in the fund having a lower "net" expense ratio that it would otherwise. Expense caps are either 'contractual' or 'voluntary'. Contractual caps exist under written agreement and usually must be in effect for one or more years. Voluntary caps are not under a contractual obligation and

can be discontinued at any time.

- **Yield Flooring or Support Waivers:**

Similar to an upper limit on expenses, in times of very low interest rates like at present in 2012, yield sensitive funds such as money market funds may also have waivers in effect by advisers in order to maintain some minimum yield such as 0.01% annualized. Such waivers are called yield "support" or "flooring" waivers and may be in concert with traditional expense caps.

- **Management fee**

The management fee is paid to the fund manager or sponsor who organizes the fund, provides the portfolio management or investment advisory services and normally lends its brand name to the fund. The fund manager may also provide other administrative services. The management fee often has breakpoints, which means that it declines as assets (in either the specific fund or in the fund family as a whole) increase. The management fee is paid by the fund and is included in the expense ratio. If the manager or adviser is waiving fees pursuant to an expense limitation, the 'net' fee is reduced by the amount waived or reimbursed for a fund.

- **Other fund expenses**

A mutual fund may pay for other services including:

- 12b-1 Distribution &/or Service Fees: for marketing, distribution of fund shares and services to investors
- Board of directors or trustees' fees and expenses
- Custody fee: paid to a custodian bank for holding the fund's portfolio in safekeeping and collecting income owed on the securities
- Fund administration fee: for overseeing all administrative affairs of the fund such as preparing financial statements and shareholder reports, preparing and filing a myriad of SEC filings required of registered investment companies, monitoring compliance with investment restrictions, computing total returns and other fund performance information, preparing/filing tax returns and all expenses of maintaining compliance with state "blue sky" laws
- Fund accounting fee: for performing investment or securities accounting services and computing the net asset value (usually each day the equity markets are open)

- Professional services fees: legal and auditing fees
- Registration fees: for 24F-2 fees owed to the SEC for net sales of registered fund shares and state blue sky fees owed for selling shares to residents of states in the US and jurisdictions such as Puerto Rico and Guam
- Shareholder communications expenses: printing and mailing required documents to shareholders such as shareholder reports and prospectuses
- Transfer agent service fees and expenses: for keeping shareholder records, providing statements and tax forms to investors and providing telephone, internet and or other investor support and servicing
- Other/miscellaneous fees
- These expenses are typically included in the calculation of the expense ratio.

- **Shareholder transaction fees**

Shareholders may be required to pay fees for certain transactions. For example, a fund may charge a flat fee for maintaining an individual retirement account for an investor. Some funds charge redemption fees when an investor sells fund shares shortly after buying them (usually defined as within 30, 60 or 90 days of purchase); redemption fees are computed as a percentage of the sale amount. Shareholder transaction fees are not part of the expense ratio.

- **Securities transaction fees**

A mutual fund pays expenses and taxes related to buying or selling the securities in its portfolio. These expenses may include brokerage commissions. Securities transaction fees increase the cost basis of the investments. They do not flow through the income statement and are not included in the expense ratio. The amount of securities transaction fees paid by a fund is normally positively correlated with its trading volume or "turnover" which is generally defined as the lesser of {purchases or proceeds from sales} divided by the average total market value of its long-term securities market value.

- **PE Ratio**

The PE ratio is the current price of the stock divided by the reported earnings per share of the stock.

- **Price to Book Value Ratio**

Price to book value ratio (PB) compares a stock's market value to its book value (book

value is assets minus liabilities). A lower PB could either mean that the stock is undervalued or that there is something fundamentally wrong with the company.

CHAPTER 2: RESEARCH METHODOLOGY

Research Methodology is the systematic and theoretical analysis of the methods applied to a field of study. It involves qualitative and quantities techniques. In other words, it is a process used to collect information and data for the purpose of the making business decisions.

This part aims to understand the research methodology establishing a framework of evaluation and revaluation of primary and secondary research.

2.1 Research Objectives

1. To know the awareness among individual for Wealth Management.
2. To figure out the popular source of investment avenue.
3. Percentage up to which individuals is ready to save at how much risk.

2.2 Research Design

Data Collection	Survey through Questionnaire
Type of Data	Primary data
Sample Area	Individual equal and above the age young
Research Instruments	Questionnaire & Personal Interview
Type of Questionnaire	Structured
Statistical Charts used	Pie Charts, Column & bar Graphs
Sample Size	63
Sampling Technique	Convenient Sampling

2.3 Limitations

The limitations of the study are those characteristics of design or methodology that impacted or influenced the interpretation of the findings from your research.

1. Sample size may not completely representative the universe.
2. Completely relying on the data provided by individual through questionnaire.
3. A failure to use a random sampling technique significantly limits the ability to make broader generalizations from results.
4. Less geographical reach.
5. Man Power constraint.
6. Lack of face-to-face communication as large number of surveys is d

CHAPTER 3: LITERATURE REVIEW

1. Velmurugan et al (2015)

concludes that investment done in various investment avenues with the expectation of capital appreciation and short- and long-term earnings. The basic idea behind investment of all government, private, self-employed and retired person in this study is to utilize the surplus money in favorable plans so that the money will be rolled back as well as it will give high returns also. When a common man thinks about investment he will never go for any risky plan. In the present scenario the share and gold market are highly uncertain and unpredictable, so the investor should analyze the market cautiously and then make investment decision.

2. Wyman et al (2014)

says that digital is a threat to established participants in wealth management. Younger, technologically-savvy investors have a greater comfort level with self-directed investing than the older generation of today. These investors have also grown up in a world where young companies routinely disrupt older companies—and often create entirely new industries. As a result, the next generation of investors is likely to have a greater openness to directing their savings to entities that rely on new models and different technologies—all at lower cost—than established wealth managers. But there are also digitally-oriented opportunities for established wealth managers to deepen their connection with investors through the use of enhanced communications platforms, while also improving the overall investor experience. Significantly, technology can also be harnessed to reduce operating costs—savings that can be passed along as lower fees to investors.

3. Nayak (2013)

in his report says that there has been a significant change in the levels and density of savings pattern of the rural households because of the increase in saving opportunities available with a convenient bar. The increase in the financial institutions like banks, micro finance institutions, SHGs and other local banks provided an opportunity to the rural people to save more. The increase in awareness among the people for their future security as through the unforeseen cases like sudden death of a family member, medical

emergency and any other financial crisis, education of their children, marriage of a family member has made people inclined to save. The degree of change in savings as compared to urban communities of the rural households are not much still brought a revolution in the pattern of savings of the rural households.

4. Schröder (2013)

analyzes the responses to a represent survey of wealth advisors on private wealth management practices, and compares the advisors' views to academic research in household finance. This study demonstrates that many wealth managers do not apply novel insights proposed by financial economists when advising their investors. Many practitioners focus on managing only the market risk exposure of their investors' portfolios. Although financial research has stressed the importance of incorporating human capital, planned future expenditures and the investment time horizon into the investor's asset allocation, these aspects are neglected by most practitioners.

5. Cognizant Reports (2011)

published a report which says that India's wealth management services sector is largely fragmented, which isn't surprising given the industry is still in its early days. Most organized players have so far focused mainly on the urban segment, leaving untapped about one-fifth of India's high net worth individuals (HNWI) population. While early entrants and established local players have gained trust with potential investors, firms looking to enter the market will need to invest heavily in brand-building exercises to convey their trustworthiness. Hence, it is recommended that firms take a long-term view while evaluating potential return on investment. The overall outlook and trends in India indicate a huge potential for growth for new and established wealth management firms.

6. Lucarelli et al (2011)

in this paper proposes a theoretical framework which sets alternative business models (BMs) in the wealth management industry, testing them with experimental data. Our "map" of business models arises when wealth managers (WMs) potentially make a mix of business process standardization/customization, together with 'make or buy choices', after an external and internal strategic analysis has been carried out.

Operational data support that our business models map can be a reliable instrument both to describe and to guide the strategic position of WMs.

7. Sharma (2008-2010)

concluded that Indian investors are very conservative and less risk taker. They prefer to invest their money into safe securities even they know that they will get the less return on the investment and may be possible that they could not cover up the inflation rate but still they prefer to invest in these securities. This is not because they all are risk averse or they don't want to get more return but it is because of lack of knowledge and lack of expertise services in small cities. Investors are not getting the expert's services because they are not aware of such kind of services.

8. Nita et al (2009)

examines the features of private banking business focusing on the substantial growth in private banking over the last decade as commercial banks have targeted up market high net worth individuals. The accumulation of wealth has prompted the development of private banking services for high-net-worth individuals, offering special relationships and investment services. Private banking is about much more than traditional banking services of deposits and loans. These kinds of services include: Protecting and growing assets in the present, providing specialized financing solutions, planning retirement and passing wealth on to future generations.

9. Pang et al (2009)

says that wealth management strategies for individuals in retirement, focusing on trade-offs regarding wealth creation and income security. Systematic withdrawals from mutual funds generally give opportunities for greater wealth creation at the risk of large investment losses and income shortfalls. Fixed and variable life annuities forgo bequest considerations and distribute the highest incomes. A variable annuity with guaranteed minimum withdrawal benefit (VA GMWB) somewhat addresses both income need and wealth preservation. Mixes of mutual funds and fixed life annuities deliver solutions broadly similar to an even more flexible than a VA GMWB strategy.

10. Caselli et al (2005)

explains the segment of banking services that focus on families and family-owned businesses, within the private banking business, by examining synergies among the various financial integrated activities and by offering ideas on how to develop new business opportunities.

11. Asia pacific wealth report 2018

conducted by Capgemini delves into activity of high-net-worth individuals (HNIs) in Asia pacific region as a whole, it highlights the role wealth management firms play in the investment and growth activity of individuals during an especially favorable and booming economic phase witnessed around the world as of FY2017/FY2018. Therefore, highlights a shift in possible business model disruption in the ongoing fee structure within wealth management firms to a more Hybrid- Modular fee structure whereby the HNIs would pay only for the firms' features that they use during the entire Wealth Manager – Client engagement process. Lastly, the research highlights a possible disruption on the cards, wherein a Biotech technology company like Alibaba, Tencent, Amazon or Google could possibly capture the market share from incumbents due to lack of transparency in fees and a certain keen interest from the HNIs community as a whole especially India, Indonesia and China to allocate funds to tech titans when they enter the Wealth Management business in future.

12. India wealth report 2018

by Kary Private Wealth presents an in-depth analysis of global and domestic wealth patterns through an assiduous collection of data to study where and how Indian individuals have placed their hard-earned wealth; which are the asset classes that are gaining investors' confidence and which are the ones that are falling out of favor. The paper throws new insights into the changing dynamics of investment behavior and of course some interesting trends. Also, a shift could be seen in terms of rising up to the opportunity as investors as a whole moved away from physical assets to investment in financial assets. Overall, this study showcases a holistic view of investment story playing in India.

13. According to Brennan and Xia (2002)

in a study on dynamic asset allocation under inflation and Watcher (2002) the key objectives for the success in wealth management are increasing focus on client-centricity through specified client segments, understanding of client needs, proactive effort and individualized value propositions and exceeding client expectations. The customer centric solution has proven to be one of the important deciding factors for wealth management organizations, ensuring customer fidelity by providing distinguish services from other competitors and suitably gaining competitive advantage.

14. Walia and Dr. Kiran (2009)

in their research on analysis of investor's risk perception have focused on the perspective of an individual investor by understanding the expectation of the investor and his risk appetite. Customers consistently expect to get innovative solutions with higher quality in the provided services.

15. Walia and Dr. Kiran (2009)

mentioned that maximizing returns and minimizing risk are the two fundamental criteria gaining the focus of the wealth managers while creating their service strategies.

16. Walia and Dr. Kiran (2009)

opined that before designing any innovation solution for the investors, wealth managers carefully consider the trade-off between the risk and returns; and comprehensively evaluate different investment schemes on various risk elements to satisfy the need of all investors to obtain maximum returns.

17. Walia and Dr. Kiran (2009)

examined that wealth managers with their technical skill and professional management are consistently trying to make the markets more transparent and efficient in order to easily determine and effectively manage the risk factor.

18. Vincent F. Yu and Hsiu-I Ting (2011)

on identifying key factors affecting consumer's choice of wealth management services, the three main elements that form the crucial factor in choosing a financial institution for the wealth management are image, product and services. Sub-elements of image are

popularity, reliability, morality, professionalism and recommendation. Sub-elements those come under products category are diversification, fee, returns and risk. Key elements of services are convenience, confidentiality, communications and attitude.

19. Even sky, Horan & Robinson (2011)

in financial advisors guide to managing and investing client assets that the wealth management strategies compiled for investors focuses on trade-off between profit and risk, wealth creation for retirement planning and safeguarding revenue income. The wealth management, offering diverse range of services like tax planning, financial planning, cash flow & debt management, investment management is based upon requirements of clients. However, wealth managers assist individuals to find their goals and achieve them.

20. Base and Drew (2009)

the first step in viable wealth management is identifying attractive customer segments. A firm operating the space of wealth management can achieve success by comparing their own abilities, skill and competence with the needs and requirements of the customers. Moreover, the annual income has a relationship with perception, for benefits of wealth management services. To attract new clients and retain the trust and confidence of the existing customers, a financial institution must be compassionate with the customers and proficient in their skills. Human touch is one of the fundamental and essential elements for the success in the wealth management sector. It is important for the wealth management firms extending their services to the middle-income group of customers with fewer assets to balance the cost to service with the profit anticipated.

21. Dwivedi et al. (2008)

has brought the attention towards the growing Indian wealth management industry and how has it played an important role in bringing relief to the falling Indian economy.

22. Cocco et al., (2005)

elucidated that wealth management firms now need to review their primitive business strategies, amend their legacy business model, improve their services and enhance their infrastructure, revise their plans and build up a new business model which is more

robust and resilient. Building such a business model and appointing a relationship manager as a single point of contact for clients would strengthen the association and relationship between the clients and wealth managers. Firms must change their business models to meet the global financial investment requirements of their clients. In recent years, the client's faith on advisors have significantly reduced and many clients have started to probe their advisors and have also raised their expectations from their advisors forcing them to fulfill their commitments and focus on a client centric view to deliver amiable experience to their customers.

23. Dhivya and Sekar (2010)

on investor's preference towards financial investment, the clients look for technologies from wealth managers. So, the financial institutions need to use best technologies to satisfy the needs and fulfill the expectations of client by wealth management advisors. However, it is clear that the firms face important challenges in bringing the entire suite of brokerage, banking, trust, investments, retirement products, banking and custody services in an integrated manner. Moreover, there is the need to invest in new platforms for handling distinctive asset classes. The main key to success for the wealth managers lies in prudently selecting their partners, understand the fast-changing requirements of the local market and then need investigate to integrate various factors, so that the clients see them as seamless and endless provider. The technology called open architecture will involve many challenges for integration of data from multiple money managers; and efficient overlay management will become a key differentiator for firms.

24. According to Boyd (1994)

in a study on customer preferences for financial services, with the fast changing and more complex demands of investors, it has turned out to be very significant for the wealth managers to strenuously focus on the deciding factors of the investors which influence their decisions to choose their wealth managers and advisors. It is a tough challenge for a general customer to differentiate between two wealth managers and compare their services on various different aspects.

25. According to the 5th Annual World Wealth Report generated by Merrill Lynch Global Wealth Management and Cap Gemini (2014);

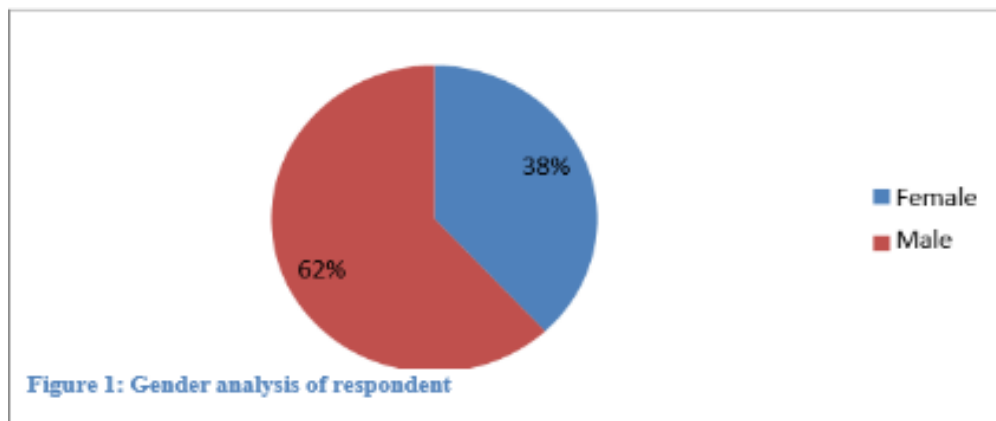
the globe's high net worth individuals (HNWIs) saw a rise of populace and wealth in 2010 exceeding 2007 pre-crisis marks in almost all areas. 2010 witnessed international HNWI populace and wealth advancement becoming more established; in fact, the HNWIs populace rose to 10.9 million – a rise of 8.3% and HNWI fiscal wealth touched US\$42.7 trillion – registering a growth of 9.7% (in contrast to 17.1% and 18.9% respectively in 2009).

CHAPTER 4: DATA ANALYSIS AND INTERPRETATION

1. Analysis of Gender

Female	24
Male	39

Table1: Analysis of Gender



From the above table shows that 38% respondents are Female and 62% are Male.

2. Family Structure

Nuclear	39
Joint	24

Table2: Family Structure

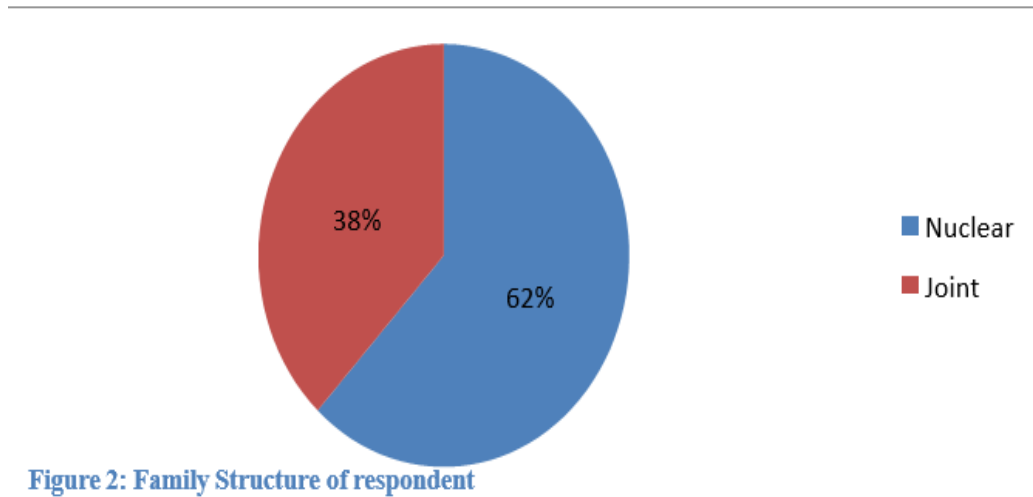


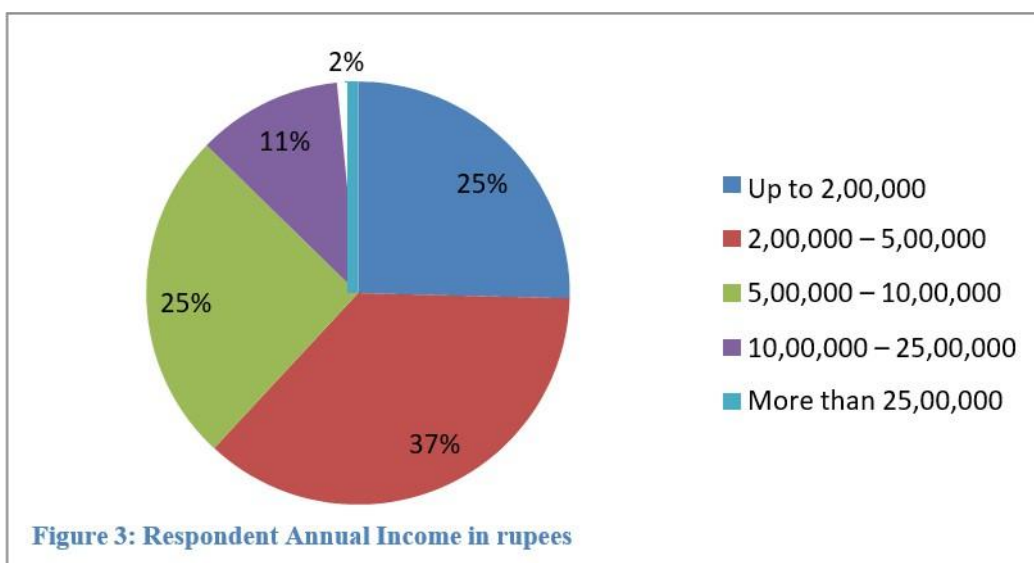
Figure 2: Family Structure of respondent

From the above graph shows that 38% respondent belongs to joint family and 62% respondents belongs to nuclear family

3. Annual Income (in Rs.)

Up to 2,00,000	16
2,00,000 – 5,00,000	23
5,00,000 – 10,00,000	16
10,00,000 – 25,00,000	7
More than 25,00,000	1

Table 3: Annual Income (in Rs.)

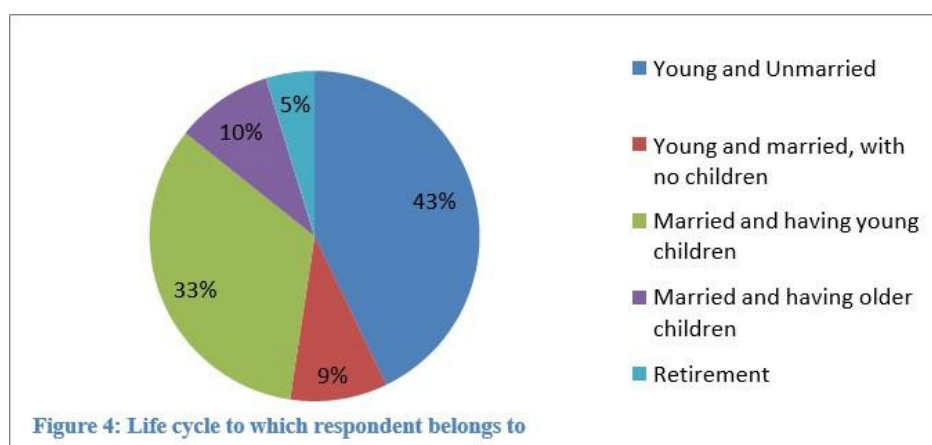


The above graph shows that 25% Respondents earns around up to Rs.2,00,000 per year. 37% respondent earns Rs. 2,00,000 to Rs. 5,00,000 per year. 25% respondent earns Rs. 5,00,00 to Rs. 10,00,000 per year.

4. Stage of life cycle

Young and Unmarried	27
Young and married, with no children	6
Married and having young children	21
Married and having older children	6
Retirement	3

Table 4: Stage of life cycle

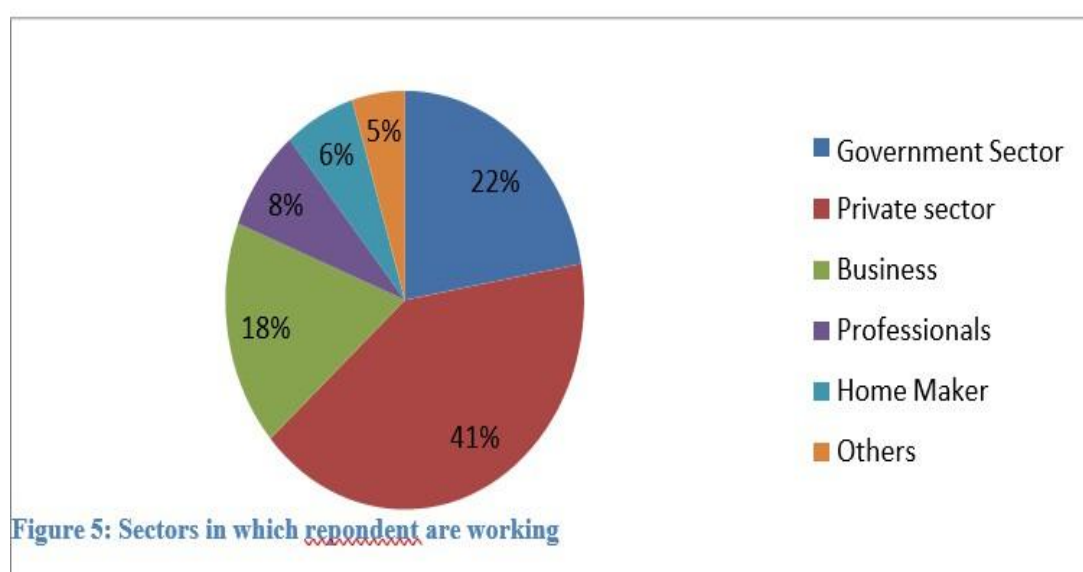


From the above graph that 43% respondents are from young & unmarried. 33% respondent are married & having young children. 9% respondents are from young and married, with no children. 10% are married and having older children.

5. Sector in which they are employed

Government Sector	14
Private sector	26
Business	11
Professionals	5
Home Maker	4
Others	3

Table 5: Sector in which they are Employed

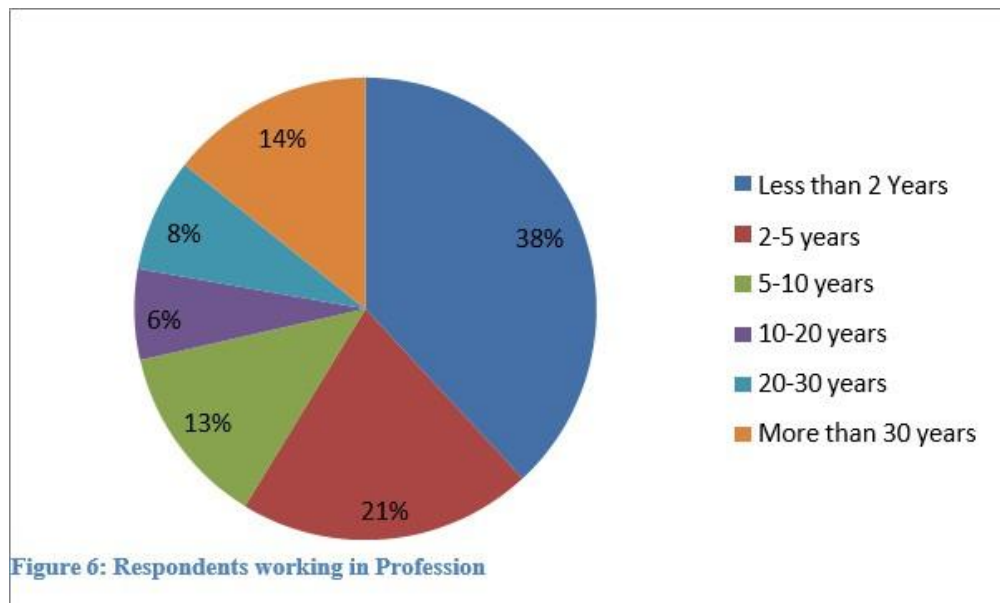


The above graph says 41% works in private sectors. 18% work in their own business. 22% are government employees. 11% are home maker and others.

6. Years they are working in profession

Less than 2 Years	24
2-5 years	13
5-10 years	8
10-20 years	4
20-30 years	5
More than 30 years	9

Table 6: No. of years working in profession



38% respondents are working less than 2 years. 21% respondents are working from 2-5 Years. 13% are working from 5-10 years. 14% respondents are working from more than 30 years. 14% respondents are working in between 10-30 years.

7. Do you have proper financial planning?

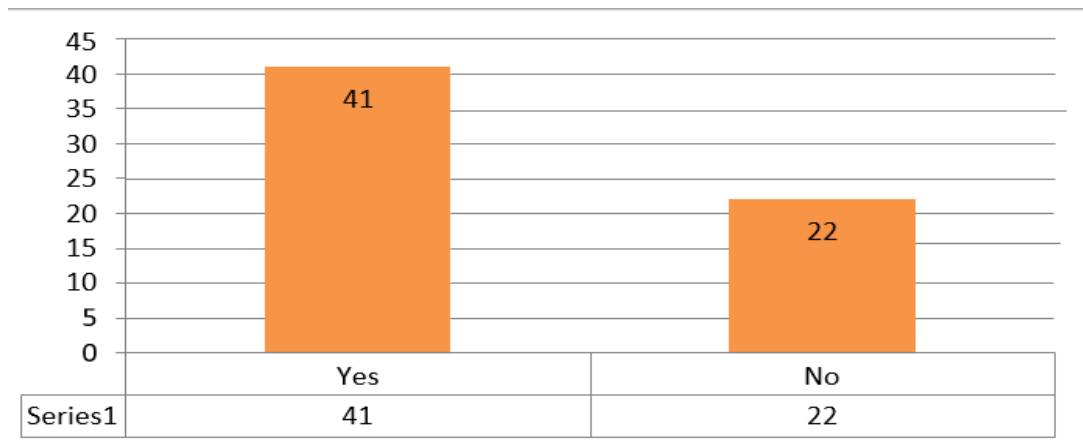


Figure 7: Shows the response on proper financial planning

Interpretation:

The above data shows that 65% of surveyed respondents have proper financial planning of their income; the remaining 35% respondents don't have proper financial planning which is an issue in this fast-growing economy.

8. Do you consult any financial planner?

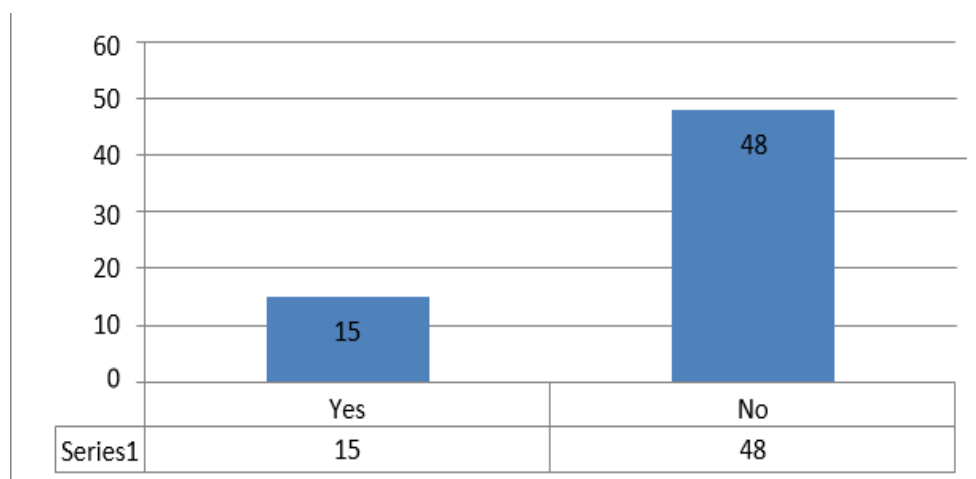


Figure 8: show how many respondents consult financial planner

Interpretation:

By the above data shows that around 23.8% of respondents consult financial planner whereas 77.2% proportion of respondents do not consult any financial planner which might lead to inefficient wealth management.

9. What kind of Financial Planning you opt for?

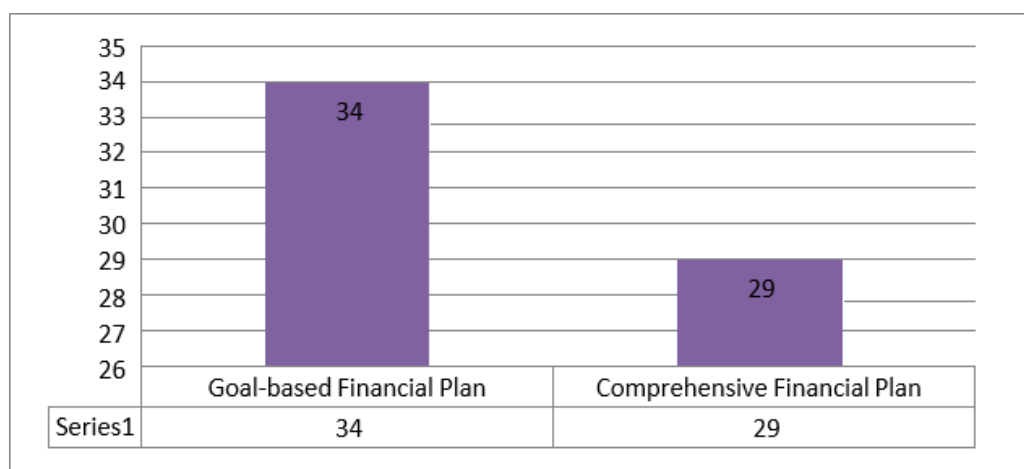


Figure 9: show that what kind of Financial Planning respondent opt for

Interpretation:

This graph can be interpreted as 54% of respondents preferred goal based financial planning whereas 46% respondents opt for comprehensive plan as their financial planning.

10. Do you have systematic approach to investing?

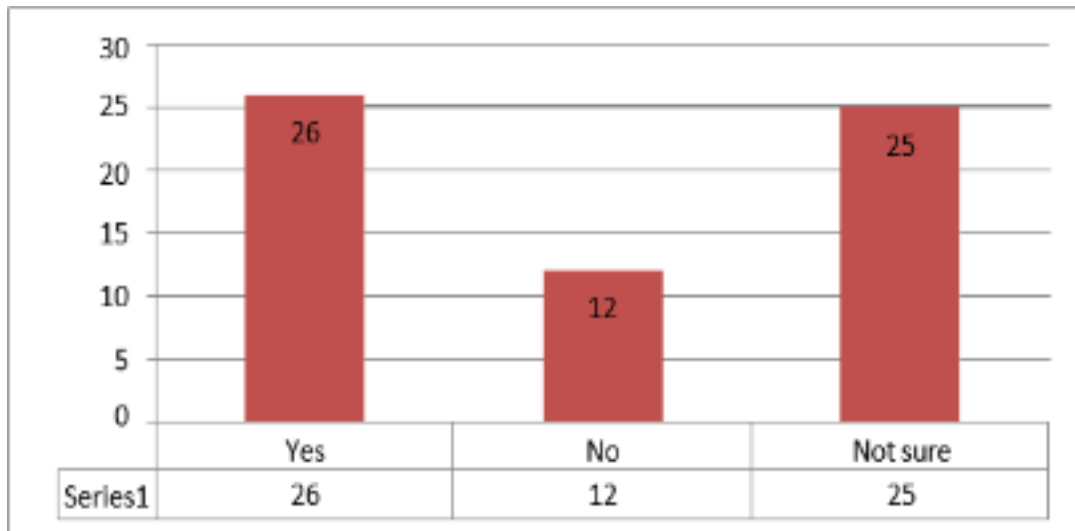


Figure 10: Shows that how many respondents have systematic approach to investing

Interpretation:

This graph shows how much respondent knows about systematic approach of investment. 60% of respondents said that either they not sure about it or they don't know anything on systematic investment approach, whereas 40% respondents know about systematic investment approach.

11. If yes, then in which plan you have invested?

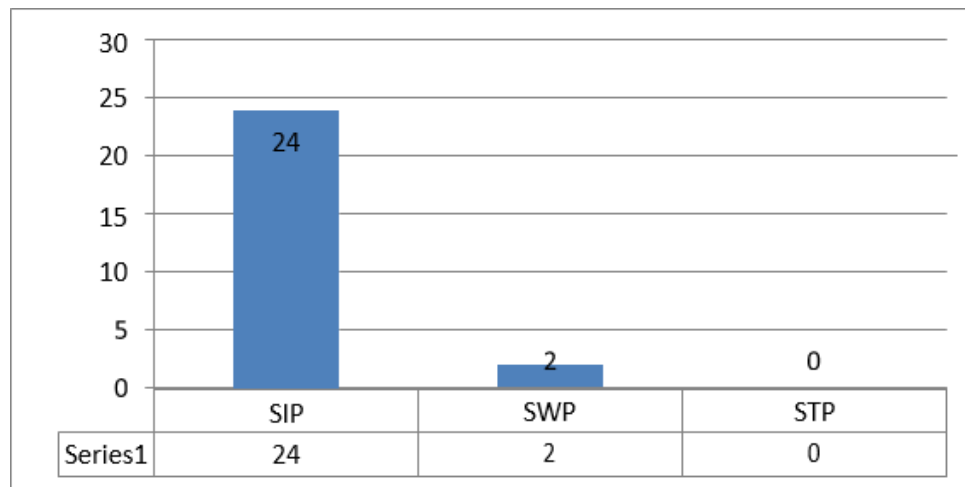


Figure 11: If respondent have systematic approach which plan, they go for

Interpretation:

In this graph only those respondents who said yes in previous question are examined in this and 98% responses have SIP as their systematic approach to investment and remaining 2% invested in SWP, there is no responses in STP which means people either don't know about it or not invest in this.

12. What percent of income you invest (save)?

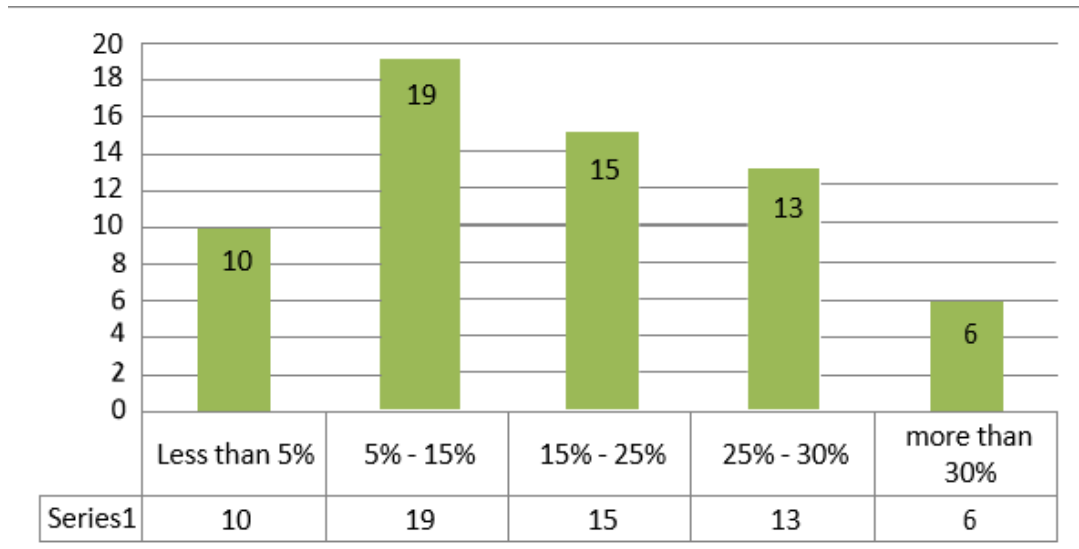


Figure 12: Show percent of income respondent invest (save) for

Interpretation:

The graph shows that 30% of respondents save around 5 to 15% of their total income. Only 15 responded save around 15 to 25% and only 9% respondent save more than 30%.

13. What is your risk profiling?

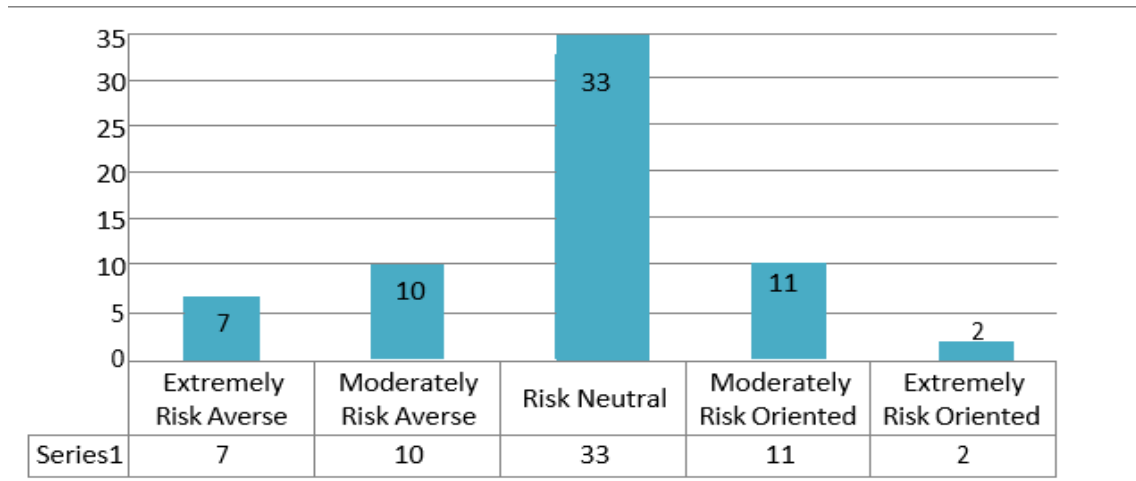


Figure 13: show what kind of risk respondent is ready to take

Interpretation:

52% of respondent go for neutral risk and only 3% respondent are risk oriented at same time 11% are not ready to take any risk in their investment.

14. Do you balance uncertainty with various asset mix investment?

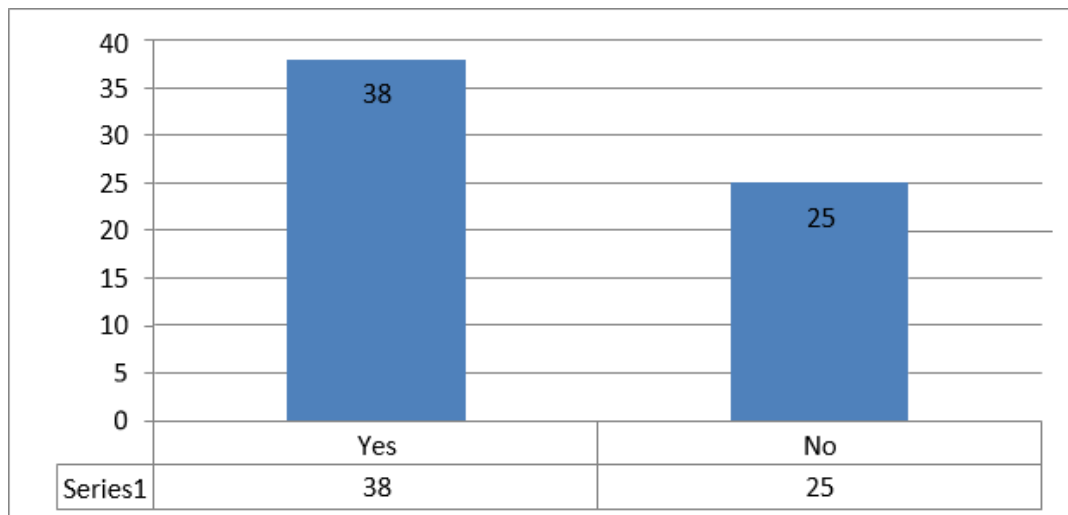


Figure 14: show do respondent know to balance asset mix in uncertainty

Interpretation:

In this graph 61% respondent knows how to balancing uncertainty with variousasset

mixes in investment whereas only 39% does not know how to manage uncertainty.

15. What kind of asset allocation you will prefer?

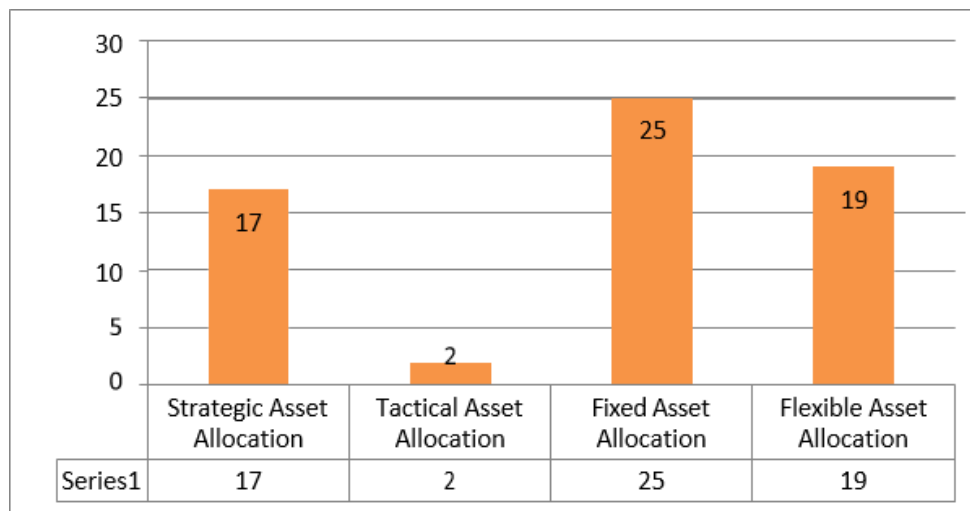


Figure 15: Kind of asset allocation respondent prefer for

Interpretation:

This graph explains that 40% respondents prefer fixed asset allocation on the same side flexible asset allocation is preferred by 30% of respondents. 29% respondents prefer strategic asset allocation.

16. Duration you prefer for investment

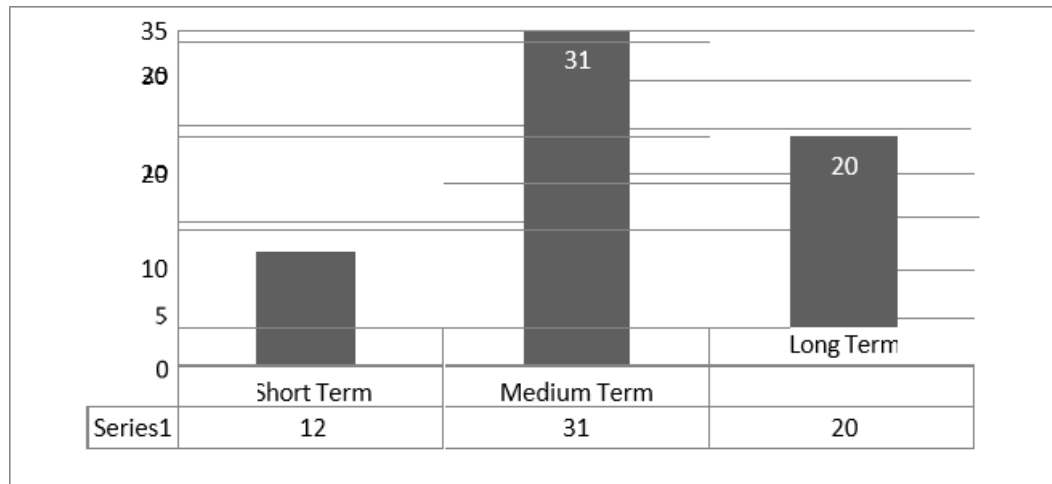


Figure 16; Time horizon respondent invest for

Interpretation:

Horizon is very important will investing in any investment; here 50% of the respondents prefer medium term investment, on same hand 31% investors prefer long term investments but 19% investors invest for short term.

17. Are you aware of wealth management?

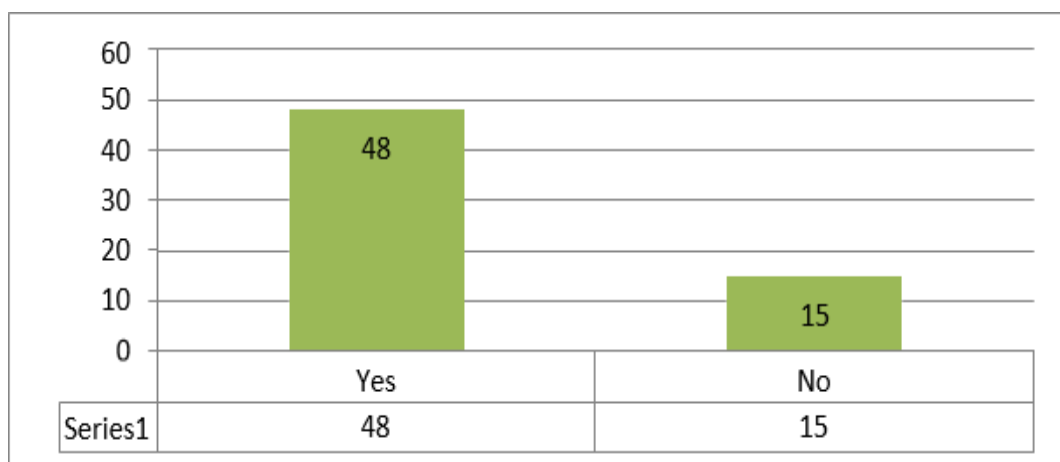


Figure 17: To know the awareness about wealth management

Interpretation:

76% of respondents know about wealth management whereas only 24% respondents are not aware about wealth management.

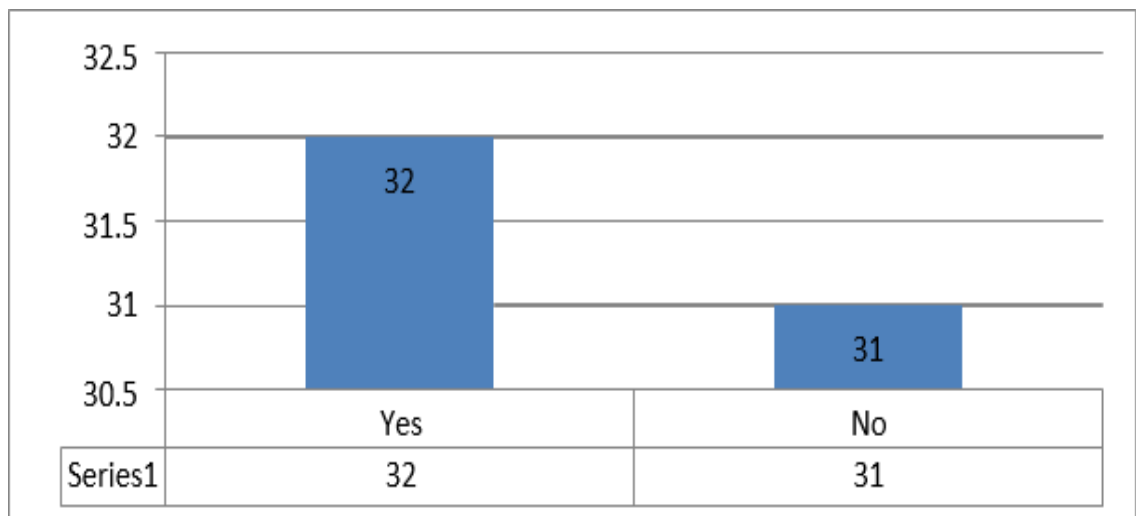
18. Do you know about Portfolio management services?

Figure 18: Do respondent know about portfolio management services

Interpretation:

By this graph we can say that 50% of the respondent knows about portfolio management services whereas half don't know about it.

19. Have you read any material on wealth management?

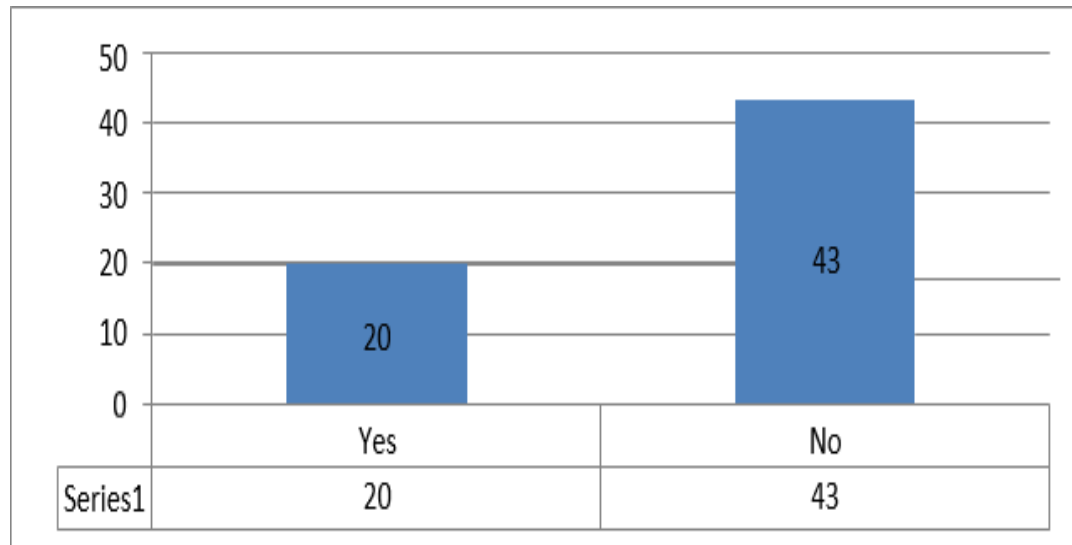


Figure 19: How many respondents read any material on wealth management

Interpretation:

43 respondents haven't studied any material on wealth management whereas only 20 respondents who belongs basically to related field of wealth management.

20. Which of the following investment avenue you have invested?

(Till date) (Please rank them in your preference)

Rank	Saving Account	Bank Fixed Deposit	Public Provident Fund	National Saving Certificate	Post Office Saving	Government Securities	Gold	Life Insurance
1	26	19	10	0	4	1	6	6
2	8	9	7	3	2	1	6	2
3	5	9	5	3	2	1	3	6
4	6	3	3	2	5	0	3	4
5	4	3	1	2	1	1	6	9
6	2	4	1	1	1	3	0	1
7	3	0	1	0	0	2	2	2
8	1	0	0	2	0	0	1	1
9	1	0	0	1	1	1	1	0
10	0	1	0	0	0	1	1	1
Not Answered	7	15	35	49	47	52	34	31

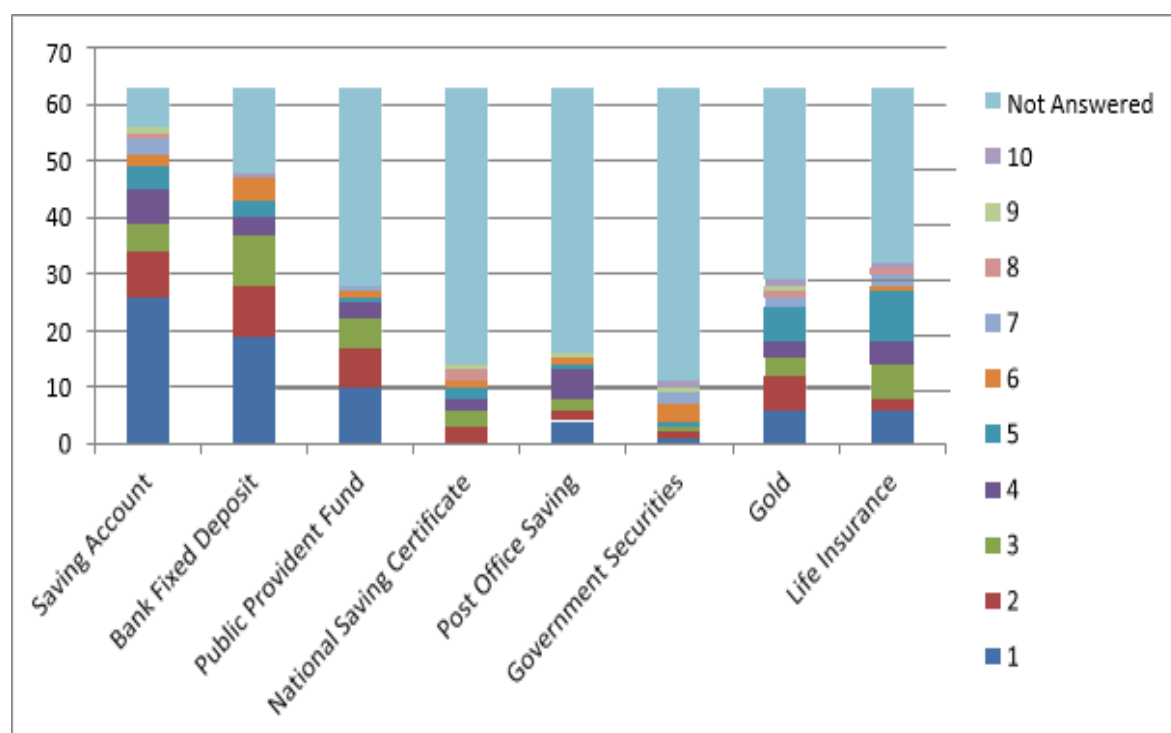


Figure 20: Investment avenues respondent have invested

Rank	Real Estate (Property)	Equity Market	Mutual Funds	Debentures	Bonds	Commodity Market	FOREX Market	Chit Funds
1	6	1	7	0	0	3	4	1
2	2	2	3	2	2	3	2	1
3	2	1	2	1	4	2	2	1
4	2	4	1	1	0	1	3	0
5	1	2	1	0	0	1	0	1
6	2	1	4	0	0	1	1	0
7	1	3	2	0	0	1	1	0
8	0	0	1	0	1	2	0	0
9	1	0	2	0	0	0	0	0
10	1	2	0	1	1	1	2	1
Not Answered	45	47	40	58	55	48	48	58

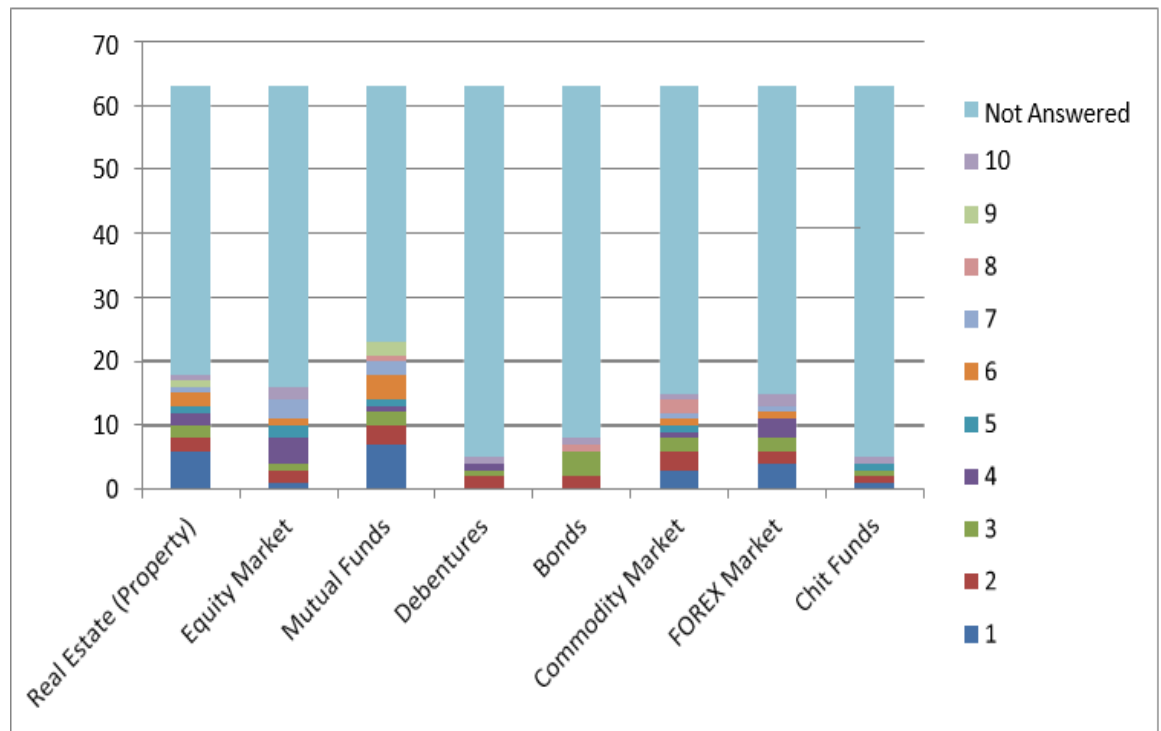


Figure 21: Investment avenues respondent have invested

Interpretation:

After studying all the investment avenues, we can say that saving account has given first rank by 41% of respondent. Followed by bank fixed deposit, public provident fund, mutual funds, life insurance, gold, real estate. Many respondents didn't diversify very much with their requirements with minimum risk they want to diversify most.

CHAPTER 5: CONCLUSION AND SUGGESTIONS

Conclusion:

The wealth management industry in India is poised for significant expansion, given the favorable market landscape and expected regulatory boosts for the sector. This provides exciting growth opportunities which will drive rapid market expansion, coupled with an increase in the number of industry participants. To successfully tap into these potential, financial services organizations must undertake a customized approach, taking into account the specific variables of the Indian market. This will need to be supported by cost-effective business model focused on improved transparency and compliance, partnerships and efficient technology solutions.

- By survey we can say that many individuals don't know the real meaning of wealth management as they interpret it as financial planning. Out of 63 respondents 58 respondents say that they are aware about wealth management.
- Respondent prefer risk free asset to be in their portfolio like PPF, FD's, Life insurance, Gold etc. thus we can say that these are some popular sources other than saving account.
- On an average saving percentage give an outlook of risk that person can bear. Low saving ratio led to lower risk & high saving ratio led to high risk.
- Higher the return, higher the risk will be. Mutual funds though given the higher return in long run than any other asset mix but yet not been preferred by many of respondents, now a day SIP is more popularizing in mutual fund.

In recent years, the proliferation of wealth management products and innovative financial services have contributed to the steady growth of wealth management as an attractive and lucrative service sector within the financial industry around the world. The constant forward march of technology is opening new markets in wealth management. At the same time, rapid product development and changing needs of the investors and globalization of businesses are posing new challenges for the professionals in wealth management.

Progressively molded by utilization of web, internet-based life and plenty of gadgets

the up-and-coming age of HNWI speculators will request money related apparatuses for dealing with their portfolio or investigate budgetary resources and other venture roads for settling on educated monetary choices.

For the present, the present piece of the overall industry of robot-warning firms is peripheral in correlation with the AUM of the worldwide resource administration industry. Be that as it may, with the worldwide interest for crossover man-made consciousness-based riches administration picking request, speculators will stop their money related resources where charge straightforwardness is substantial but then stays aggressive in its portfolio choice ability. The democratization of data additionally makes it substantially less demanding for financial specialists in general to pick Wealth Managers in light of past execution and mastery. At introduce the robo-warning model isn't relied upon to upset customary Wealth Advisory Business totally on account of the low money related mindfulness levels of individual speculators, who still need some type of human communication before settling on venture choices. However, with immersion of innovation in the commercial center by new companies and BigTech, the measurements itself will make speculators focus on the resourcefulness of Artificial Intelligence. Without a doubt, developing advances are relied upon to change the scene – and India will be no exemption with 1 million entering work compel each month*, the benefit administration industry will have its plates full while technically knowledgeable youthful financial specialists will investigate the wide cluster of computerized apparatuses to make riches for themselves.

Findings:

- 56% of young and unmarried people working in the private sector don't have proper financial planning.
- On other hand married and having young & older children prefer for financial planning and do consult with financial plan to manage their asset mix.
- We can categorize married people into 4 segments i.e., young and married, with no children; married and having young children; married and having older children and retirement it will constitute 36 out of 63 respondents, out of those 36 respondents only 29 respondents says that they have proper financial planning, but

from those 29 only 9 respondent consult to financial planner to plan their asset mix.

- Mostly Male prefers comprehensive financial planning as they invest in various asset mixes.
- Most of the mutual fund investors prefer systematic approach based on SIP for investment. But on other hand we can say that most of the respondent doesn't know the benefits of systematic approach.
- Respondent having their annual income up to 5, 00,000 prefers to save only 5% to 15%. In a same way only 6 respondents go for more than 30% of saving as they prefer comprehensive financial planning.
- Extremely risk averse haven't invested in any risky asset as they play a safe game and most of respondent prefer saving account to be their 1st option but on same extremely risk oriented prefer to invest in most risky assets.
- Respondent who are young either unmarried & married are not aware how to balance uncertainty with various asset mix.
- Tactical asset allocation is preferred by that respondent who invests in risky market where as fixed asset allocation is preferred by most of the respondent as their risk is neutral.
- Long term horizon is mostly prefers by fixed asset allocation respondent and even they have proper financial planning.
- 44% of respondent are aware of wealth management but they haven't studied any material on wealth management. According to some of respondent wealth management manages their investing money in various sectors.
- In a same way many respondent don't know about portfolio management services.
- Some respondent believe that wealth management is systematic management of all the income you generate.

Suggestions:

- The incumbent wealth management firms should invest in propriety robo advisory for the long term and adapt people, processes and business proposition to the new reality of wealth management.

- Invest more into presence within digital platforms as new generation of investors will increasingly use financial tools to make financial decisions.
- Invest into grooming finance professionals who are sharp and educated on economy, markets and financial products to understand of clients' needs, interests and goals as a relationship manager.
- Banks and wealth management firms should be transparent about its advisory fees and miscellaneous charges.
- Private Banks & Wealth management firms could differentiate themselves by offering more customized and modular fee models to HNWI clients based on preference that vary significantly across age and wealth levels.

Hybrid advisory model may offer firms a means to build a new, more modular advisory proposition namely fully automated, semi-automated and human advisory for HNWI's. Alternatively, firms could fully automate all client processes and invest in people to take lead in advisory role and financial planning.

ANNEXURE

Gender-

- Male
- Female

Family Structure-

- Joint
- Nuclear

Annual Income (In Rs)

- Up to 2,00,000
- 2,00,000-5,00,000
- 5,00,000-10,00,000
- 10,00,000-25,00,000
- More than 25,00,000

Which stage of life you are-

- Young and unmarried
- Young and married
- Married and having young children
- Married and having older children
- Retirement

In which sector you are employed?

- Government sector
- Private sector
- Business
- Professionals
- Home maker
- Others

For how many years you are in this profession?

- Less than 2 years
- 2-5 years
- 5-10 years

- 10-20 years
- 20-30 years
- More than 30 years

Which of the following investment avenues you have invested? (till date) (please rank them in your preference)

- Saving Account
- Bank Fixed Deposit Account
- Public provident Fund
- National Saving Certificate
- Post Office Saving
- Government Securities
- Mutual Funds
- Life Insurance
- Debentures
- Bonds
- Equity Share Market
- Commodity Share Market
- FOREX Market
- Real Estate (Property)
- Gold
- Chit Funds

If others (please specify)

Do you have proper financial planning?

- Yes
- No

Do you consult financial planner?

- Yes
- No

What kind of financial planning you opt for?

- Goal based financial plan

- Comprehensive financial plan

Do you have systematic approach to investing?

- Yes
- No
- Not sure

If yes, than in which plan you have invested?

- SIP
- SWP
- STP

What percent of income you invest (Save)?

- Less than 5 %
- 5% - 15%
- 15% - 25%
- 25% - 30%
- More than 30%

What is your risk profiling?

- Extremely Risk Averse
- Moderately Risk Averse
- Risk Neutral
- Moderately Risk Oriented
- Extremely Risk Oriented

Do you balance uncertainty with various asset mix investments?

- Yes
- No

What kind of asset allocation you will prefer?

- Strategic Asset Allocation
- Tactical Asset Allocation
- Fixed Asset Allocation
- Flexible Asset Allocation

Duration you prefer for investment?

- **Short Term**
- **Medium Term**
- **Long Term**

Are you aware of wealth management?

- **Yes**
- **No**

Do you know about portfolio management service?

- **Yes**
- **No**

Have you read any material on Wealth Management?

- **Yes**
- **No**

What do you understand by wealth management?